

THE SESSION · POST-CLOSE READ

Pacing the *Frontier*

Calls from Anthropic and OpenAI to slow frontier AI development repriced the chip and data-center complex while software and cybersecurity rallied on the same headline; Brent held above \$105 after Saudi Arabia idled its Hormuz-bypass pipeline, and the 10-year briefly touched 5% ahead of Wednesday's Fed decision. Both FCI sleeves trailed their benchmarks.

S&P 500 ▼ 0.48%

NASDAQ ▼ 0.55%

DOW ▼ 0.29%

VIX 17.1

BRENT ▲ \$106

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.72%

1-DAY

FCI		-0.72%
DVY		+0.01%
SPY		-0.46%

YTD +18.82% vs DVY +16.85% · SPY +12.16%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.03%

1-DAY

FCI		-1.03%
IUSG		-0.74%

YTD +20.36% vs IUSG +12.63%

THE SESSION

The weekend's most consequential headline came from the AI industry itself, and the market spent Monday sorting out whom it helps and whom it costs. Anthropic chief executive Dario Amodei published an essay arguing that frontier AI development should be paced to give safety work time to catch up, and OpenAI's Sam Altman endorsed the idea. The read-through was mechanical: if model capability advances more slowly, the demand curve for the hardware that trains it flattens, and semiconductor shares sold off from the U.S. through Europe and Asia. Layered on top, Saudi Arabia's East-West pipeline — the main crude export route that bypasses the Strait of Hormuz — stayed closed after last week's drone strikes, and Brent traded as high as \$109.80 before settling near \$106. The 10-year Treasury yield briefly crossed 5%. With futures pricing a quarter-point hike at Wednesday's FOMC meeting at better than 90%, the S&P 500 fell 0.48%, the Nasdaq 0.55%, and the Dow 0.29% — all well off their morning lows. The VIX rose to 17.1.

The same headline cut the other way for software. If the frontier slows, the fear that AI agents displace application-software vendors — the discount that has weighed on the group for months — loses some of its urgency, and the money that left chips went into software and cybersecurity. Amodei's essay explicitly named cyberattack risk as a reason to pace development, and the security names were among the best performers in the Nasdaq-100. Fortinet gained 9.04%, helped along by a Gartner leader placement and its SASE Summit set for Tuesday; ServiceNow rose 7.41%; ADP added 3.12%. The Growth Portfolio holds both sides of that trade and ended down 1.03% against IUSG's 0.74% — the AI-hardware weight outran the software offset. Lam Research led the book lower at -8.29% as the pacing call reached fab-equipment spending, with Credo -7.89%, Marvell -7.32%, Keysight -7.06%, NXP -5.24%, AMD -4.40%, Taiwan Semiconductor -3.40%, and Nvidia -3.35% behind it. The data-center-power derivative sold with the chips: Constellation -7.09%, Vistra -5.14%, Hut 8 -7.58%. That last one is instructive. Bitcoin itself rose and IBIT closed up 2.22%, so what was repriced in Hut 8 was the AI-compute lease thesis, not the coin.

The businesses we own did not change over the weekend. What changed is the price the market is willing to pay today for what they may earn in 2028 — a valuation question, not an ownership question.

The Dividend Strategy fell 0.72% and trailed both marks — DVY finished flat at +0.01% and SPY lost 0.46%. The gap is explained almost entirely by the sleeve's semiconductor and AI-adjacent industrial weight: Lam Research, Analog Devices -4.69%, Caterpillar -4.27% on the same data-center-power read-through, TE Connectivity -4.07%, and Constellation. The defensive core did its job — Stryker +2.31%, S&P Global +1.97% after leading a \$110 million round in crypto-data firm Kaiko, Colgate +1.27%, Quest +1.17%, Abbott +1.11%, Lockheed

+1.01% — but five holdings down 4% or more is more than the other twenty can offset in a single session. Wednesday's decision, the updated dot plot, and Chair Warsh's press conference are the week's resolution point; the hike itself is priced, so the reaction will turn on the path signaled after it. On the year, both sleeves remain ahead: the Dividend Strategy carries a +1.97-point spread over DVY, and the Growth Portfolio a +7.73-point spread over IUSG.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

FTNT +9.04% GROWTH

Gartner named it a Leader in hybrid mesh firewalls ahead of Tuesday's SASE Summit; cybersecurity led the Nasdaq-100 as the AI pacing debate put cyber risk in focus.

PGY +7.61% GROWTH

Rose with the fintech and software cohort on light volume; no company-specific news.

NOW +7.41% GROWTH

Application software rallied as a slower AI frontier eased the disruption discount that has weighed on the group.

DECLINERS

LRCX -8.29% DIVIDEND

Chip-equipment names bore the brunt as the AI pacing call reached fab spending; Applied Materials and ASML fell alongside.

CRDO -7.89% GROWTH

High-multiple AI connectivity silicon repriced on the slower-frontier read-through; no company news.

HUT -7.58% GROWTH

Traded as an AI data-center name, not a miner: bitcoin rose and IBIT gained 2.22% while the compute-lease thesis was marked down.

ADP +3.12% DIVIDEND

Lifted with the application-software rotation; the AI-native-competitor overhang eased on the pacing call.

SYK +2.31% DIVIDEND

Med-tech caught the defensive bid as money left AI hardware; no company news.

SPGI +1.97% DIVIDEND

Led a \$110 million funding round in crypto-data firm Kaiko and presented at the Barclays financial services conference.

MRVL -7.32% GROWTH

Custom AI silicon sold with the group as investors questioned the pace of infrastructure spending into Fed week.

CEG -7.09% DIVIDEND

Data-center power trade unwound on the same headline; no company-specific catalyst.

KEYS -7.06% GROWTH

Gave back Friday's Communacopia gain as AI test-and-measurement demand assumptions were re-examined.

HOLDINGS NEWS

Fortinet: a Gartner nod and a cyber-risk tailwind from the AI pacing debate. Fortinet was named a Leader in the 2026 Gartner Magic Quadrant for Hybrid Mesh Firewalls, and management hosts its virtual SASE Summit on Tuesday, where new AI-native security capa-

bilities are expected. The timing mattered: Amodi's essay cited AI-enabled cyberattacks as a primary risk of unpaced development, and the market read that as a demand signal for security vendors. Shares closed

at \$170.18, up 9.04% — the strongest holding in either sleeve and a reversal of last week’s cautious analyst calls.

S&P Global: a \$110 million bet on digital-asset market data.
S&P Global led a \$110 million Series B extension for Kaiko, the digital-asset market-data and index provider, expanding an existing partner-

ship into a strategic stake. The move extends the ratings-and-benchmarks franchise into on-chain markets at the point where institutional demand for that data is building. Management also presented at the Barclays Global Financial Services Conference. Shares closed at \$418.81, up 1.97%.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.82%

vs DVY +16.85% / SPY +12.16%

Spread vs DVY +1.97 pts

GROWTH PORTFOLIO

+20.36%

vs IUSG +12.63%

Spread vs IUSG +7.73 pts